Does DVOL add information beyond HAR?

A retrospective BTC variance forecast study | Yuvraj Singh | 19 October 2026

Abstract. I compare Bitcoin (BTC) DVOL, Deribit's option-implied volatility index, with a heterogeneous autoregressive (HAR) model for direct 30-day variance forecasts, using 1,357 matched daily forecasts from 2023 to 2026. Raw DVOL has the lowest mean quasi-likelihood (QLIKE) loss in this sample; its paired difference from HAR + DVOL is -0.01513, with a descriptive 95% interval [-0.03939, +0.00817]. Its relative advantage varies over time. HAR + DVOL lowers HAR's mean QLIKE loss by 11.35%, but both paired intervals include zero. Estimated effective sample size (ESS) is 53.44 for Raw DVOL minus (HAR + DVOL) and 51.71 for HAR + DVOL minus HAR, both below my preset reporting rule of 60. HAR + DVOL shows no clear gain in the variance-budget diagnostic. The ESS rule excludes every declared one-year simulation from confirmatory inference, so I treat the planned prospective year as evidence collection without a formal significance test.

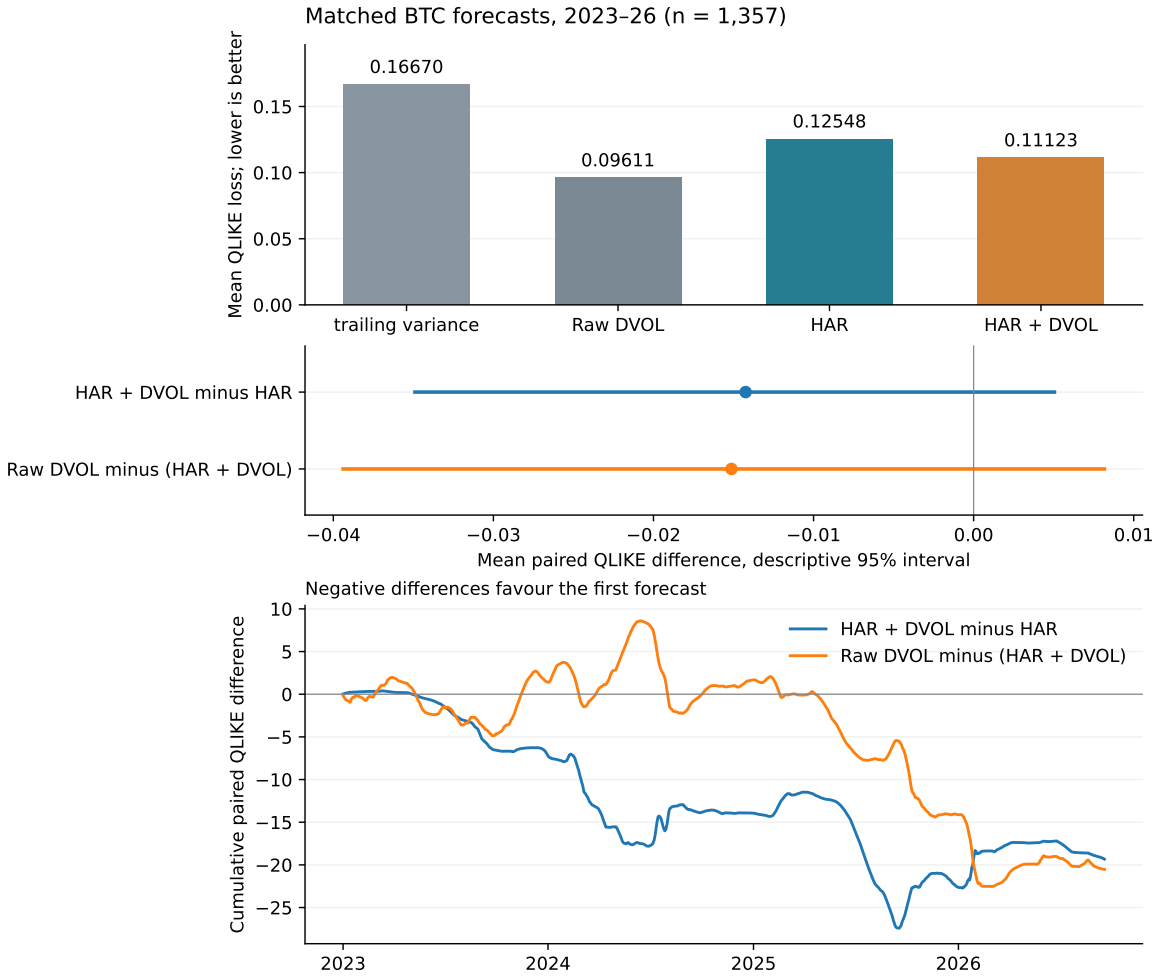


Figure 1. Mean QLIKE loss, paired mean differences with descriptive 95% intervals, and cumulative paired QLIKE differences for the same 1,357 daily origins. Negative differences favour the first forecast named. Raw DVOL minus (HAR + DVOL) is an additional historical comparison added after inspection.

1 Introduction

Does option-implied variance add forecasting information beyond daily, weekly and monthly realised variance? I compare a direct 30-day HAR forecast with HAR + DVOL, which adds the previous completed daily DVOL variance. Raw DVOL and trailing variance provide reference forecasts.

Raw DVOL has the lowest mean QLIKE loss, but its paired interval against HAR + DVOL includes zero. HAR + DVOL also lowers mean QLIKE loss relative to HAR, while its interval includes zero and its mean squared variance-budget error is higher. Raw DVOL's lower mean QLIKE loss is consistent with estimation risk in HAR + DVOL, but forecast bias and the different fitting and scoring objectives offer competing explanations.

Prior work asks whether option-implied volatility adds information beyond historical volatility. Christensen and Prabhala (1998) find incremental information in implied volatility for the S&P 100 index using non-overlapping observations; their setting differs from the overlapping BTC targets here. Corsi (2009) combines realised-volatility components across time horizons in the HAR model, which I adapt to a direct variance target. Patton (2011) studies how imperfect volatility proxies affect forecast rankings and motivates care in choosing the loss function.

Using Deribit option trades, Hoang and Baur (2020) compare implied volatility with time-series forecasts, including HAR. They find horizon-dependent accuracy and gains from combining implied volatility with model forecasts. Their option-derived measure and shorter forecast horizons differ from the direct 30-day DVOL comparison here.

2 Data and method

The retained inputs contain 48,626 hourly BTC-PERPETUAL candles and 1,996 daily DVOL candles, downloaded on 19 October 2026. Evaluation uses daily midnight forecast origins from 1 January 2023 through 18 September 2026. Each target is the next 720 hourly log-return squares, annualised by 8,760; that window requires 721 completed closes.

Both regressions use exactly the latest 365 labels whose full 30-day targets have ended. Prior 1-, 7- and 30-day annualised variances form the HAR features. HAR + DVOL adds the previous completed daily DVOL close divided by 100 and then squared. Level ordinary least squares includes an intercept, with features centred and scaled using training rows only. An annual-variance floor of 1e-6 applies to forecasts; raw predictions and every floor hit are retained. Neither regression reaches that floor in this sample. Level OLS minimises squared variance errors, while evaluation uses QLIKE. These are different objectives within the restricted HAR specifications, although both losses target conditional mean variance when forecasts are unrestricted (Patton, 2011).

With r_t denoting an hourly log return and t the forecast origin, the future target and completed-return features are

$$V_t^{(30\mathrm{d})} = \frac{8760}{720}\sum_{h=1}^{720} r_{t+h}^2,$$

$$RV_t^{(k)} = \frac{8760}{24\,k}\sum_{h=1}^{24\,k} r_{t-h+1}^2, \quad k \in \{1, 7, 30\}.$$

The two direct forecasts are

$$\widehat{V}_t^{(30\mathrm{d}),\mathrm{HAR}} = \widehat{\beta}_{0,t} + \widehat{\beta}_{d,t} RV_t^{(1)} + \widehat{\beta}_{w,t} RV_t^{(7)} + \widehat{\beta}_{m,t} RV_t^{(30)},$$

$$\widehat{V}_t^{(30\mathrm{d}),\mathrm{HAR+DVOL}} = \widehat{\gamma}_{0,t} + \widehat{\gamma}_{d,t} RV_t^{(1)} + \widehat{\gamma}_{w,t} RV_t^{(7)} + \widehat{\gamma}_{m,t} RV_t^{(30)} + \widehat{\gamma}_{D,t}\left(\frac{\mathrm{DVOL}_t^{\mathrm{prev.close}}}{100}\right)^2.$$

All comparisons use identical origins. Smaller values of the QLIKE loss indicate more accurate variance forecasts:

$$\mathrm{QLIKE} = \frac{\text{realised}}{\text{forecast}} - \log\left(\frac{\text{realised}}{\text{forecast}}\right) - 1.$$

3 Mean QLIKE differences are uncertain and vary over time

Table 1 gives the model means and both paired QLIKE differences. Raw DVOL minus (HAR + DVOL) has mean -0.01513, interval [-0.03939, +0.00817] and ESS 53.44. HAR + DVOL minus HAR has mean -0.01424, interval [-0.03490, +0.00505] and ESS 51.71. Both paired intervals use the same matched origins and resampling settings. The raw-DVOL comparison was added after inspection and leaves the locked primary comparison unchanged.

Table 1. Matched QLIKE losses, mean realised-to-forecast variance ratios and paired QLIKE differences. The ratio averages $V_t/\widehat{V}_t$ over origins. Lower QLIKE is better; negative paired differences favour the first forecast. Both intervals are descriptive.

Forecast	Mean QLIKE loss	Mean variance ratio $V/\widehat{V}$
trailing variance	0.16670	1.1689
Raw DVOL	0.09611	0.8920
HAR	0.12548	0.9499
HAR + DVOL	0.11123	1.0072
Paired comparison	**Mean difference**	**95% interval**
HAR + DVOL minus HAR	-0.01424	[-0.03490, +0.00505]
Raw DVOL minus (HAR + DVOL)	-0.01513	[-0.03939, +0.00817]

Raw DVOL's mean realised-to-forecast variance ratio is 0.8920, compared with 1.0072 for HAR + DVOL. These averages describe relative forecast scale, not conditional calibration. QLIKE penalises reciprocal multiplicative underforecasts more heavily than overforecasts, but this asymmetry does not make upward bias generally optimal. Bias or forecast scale, estimation risk and the fit–score mismatch remain possible explanations for the ranking; these diagnostics do not identify the cause.

3.1 Large absolute differences hurt HAR + DVOL

The largest 1% and 5% of absolute HAR + DVOL minus HAR QLIKE differences account for 8.6% and 27.8% of total absolute differences. Their aggregate signed contributions are positive, so these groups hurt HAR + DVOL relative to HAR even though the full-sample mean is negative. This pattern runs against a simple explanation in which HAR + DVOL wins by avoiding the most extreme losses.

Table 2. Leaving out each evaluation year. Both columns report mean paired QLIKE differences on the remaining origins; negative values favour the first forecast named.

Year left out	Remaining origins	HAR + DVOL minus HAR	Raw DVOL minus (HAR + DVOL)
2023	992	-0.01233	-0.02212
2024	991	-0.01260	-0.02098
2025	992	-0.01072	-0.00477
2026	1,096	-0.02065	-0.01288

Raw DVOL's relative performance varies over the sample: HAR + DVOL is ahead cumulatively in mid-2024, while the net raw-DVOL gain comes from 2025 and the partial 2026 period. All leave-one-year-out point differences still favour raw DVOL, but omitting 2025 reduces its advantage to -0.00477.

The retained diagnostics cover every fixed calendar quarter, extreme-origin dates and all 30 non-overlapping starting phases. Each phase contains 45 or 46 outcomes. These displays describe concentration; their interpretation is set out in the limitations below.

3.2 Lower mean QLIKE loss brings no clear budget gain

I use a variance-budget diagnostic with an illustrative annual variance target of 0.04, equivalent to 20% annual volatility. The rule scales assumed fractional exposure; its capped weight and squared variance-budget error are

$$w = \min\left(1, \frac{0.20}{\sqrt{\text{forecast variance}}}\right), \qquad \left(w^2 \times \text{realised variance} - 0.04\right)^2.$$

Table 3. The variance-budget diagnostic. Budget exceeded is the share of origins above the target variance budget.

Forecast	Mean weight	Mean squared variance-budget error	Budget exceeded
trailing variance	0.469	0.0008186	46.7%
Raw DVOL	0.418	0.0002872	29.6%
HAR	0.420	0.0004014	36.3%
HAR + DVOL	0.437	0.0004196	41.7%

HAR + DVOL has a higher mean squared variance-budget error than HAR: the paired difference is +0.0000182, with interval [-0.0000818, +0.0001221]. The interval includes zero, so this diagnostic leaves the benefit uncertain.

4 Inference limits

Paired stationary-bootstrap inference uses 5,000 draws, a fixed seed and expected blocks of 60 days, with a 59-lag heteroskedasticity- and autocorrelation-consistent (HAC) cross-check. Block sensitivities use 30, 90, 180 and 365 days. Overlapping targets and rolling fits can create dependence beyond the 30-day horizon. For each paired QLIKE difference series, ESS is the minimum of the observation count, an estimate from positive autocorrelation pairs constrained to decrease, and a variance-ratio estimate using the 59-lag Newey–West long-run variance; the pair sequence stops at its first nonpositive pair. The existing plan fixes 60 as a minimum reporting rule to withhold confirmatory results when estimated information is limited; I retain it without tuning it to these results, but the study provides no size or power derivation that makes this cutoff sufficient for valid inference.

Each declared synthetic scenario has 200 independent replications at sample sizes 365 and 1,357, with 2,000 bootstrap draws per replication. The population null has exactly zero mean, without centring each realised sample. The scenarios use a 30-day moving-average loss component alone, add a stationary slow component of persistence $\exp(-1/365)$, or add symmetric rare shocks spread across overlapping windows. The alternative shifts the mean by -0.25 marginal standard deviations, rather than -0.25 QLIKE.

Table 4. Synthetic null rejection rates before the ESS rule. Monte Carlo (MC) intervals describe simulation uncertainty; the last column is the share of replications passing the rule.

n	Synthetic loss process	Ungated rejection	95% MC interval	ESS rule passes
365	30-day overlap	19.0%	14.2% to 25.0%	0.0%
365	30-day overlap plus slow component	49.0%	42.2% to 55.9%	0.0%
365	30-day overlap plus clustered tail shocks	16.0%	11.6% to 21.7%	0.0%
1,357	30-day overlap	10.0%	6.6% to 14.9%	1.5%
1,357	30-day overlap plus slow component	45.0%	38.3% to 51.9%	0.0%
1,357	30-day overlap plus clustered tail shocks	8.5%	5.4% to 13.2%	1.5%

At $n = 365$, ungated null rejection ranges from 16% to 49%, against nominal 5%. The ESS rule passes zero of 200 replications under every one-year null and alternative. The Wilson 95% upper bound is around 1.9% for the probability of passing the rule in those scenarios. The rule therefore prevents a formal significance test in every declared one-year replication. At $n = 1{,}357$, some conditional estimates use only one to four passing replications, with wide Monte Carlo intervals.

5 Limitations

Research choices. I added the historical comparisons after inspecting the data. Chronological training does not remove that exposure to research choices. All historical findings and generated-forecast diagnostics are exploratory; the intervals are descriptive, and additional diagnostics are not primary discoveries. The mean QLIKE ranking establishes no formal superiority. The new raw-DVOL comparison also follows inspection of the ranking.

Data. The original source check compares open, high, low and close (OHLC) fields. It fails because one unused DVOL open differs. All three audited DVOL closes match, but those dates cover little of the full history. I cannot verify the original unrevised data vintages from these historical downloads. One perpetual contract supplies a proxy for spot-index returns, so the study covers one asset and venue.

Scope. I evaluate variance forecasts and a variance-budget diagnostic. The diagnostic assumes constant fractional exposure; it does not model a fixed-unit portfolio, rebalancing, funding or profit. I have not established that the rule minimises squared variance-budget error. I make no claims about net trading returns, a causal variance premium or an executable edge. The cumulative figure tracks QLIKE differences, rather than portfolio returns.

Inference. The non-overlapping phase samples can still be dependent because volatility and rolling parameter estimates persist. These samples show concentration; they do not select a crisis window or identify an ex-ante regime rule. ESS estimates dependence-adjusted information rather than counting independent episodes. The synthetic stress tests approximate loss dependence, not the full rolling HAR estimation pipeline. None of the declared one-year replications passes the ESS rule, but zero observed passes does not mean the true probability is zero; the Wilson bound quantifies that uncertainty.

6 Prospective protocol

The primary prospective contrast remains HAR + DVOL minus HAR. Under the inference-validation amendment, I treat the planned year as timestamped evidence collection without a formal significance test. I fix the cohort and terminal date in advance, even if the result is inconclusive; a later inference design needs a separate prospective declaration.

The HAR cohort contains 365 scheduled origins from 21 October 2026 through 20 October 2027, each at 01:00 UTC. Features end at midnight, forecasts freeze between 00:10 and 00:50, and outcomes begin at 01:00. Training uses the correspondingly shifted historical 30-day targets completed by midnight, a different alignment from the retrospective midnight targets. Final maturity is 19 November 2027, with terminal analysis fixed at 21 November 2027, 01:00 UTC.

Each new forecast requires matching hourly and daily DVOL closes and completion of fitting and the durable write before the freeze deadline. Missed scheduled days count as missed and stay unfilled. Terminal intervals require all 365 planned pairs and source checks; the fixed analysis cutoff excludes later-arriving scores.

A separate stochastic volatility inspired (SVI) option-probability study has zero settled research forecasts; its protocol, dates and finite calendar-grid and extrapolated-tail limits are documented in the repository methods note.

A Reproduction

The numerical results rebuild offline from the retained public recordings with Python 3.12; the README lists the pinned dependencies:

```
python scripts/build_research.py
```

The output retains matched forecasts, coefficients, training cutoffs, diagnostics, simulation rates and plan hashes. The manuscript compiles separately from its checked LaTeX source, bibliography and figure PDF. Collection details, provenance and operational limits are documented in the repository README.

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